

A Writing Critique of “CEO Incentives and Acquisitions: Dasgupta, Shu & Zhu (2025)”

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The Paper in 30 Seconds

- **Setting:** 2017 SEC mandate forcing firms to disclose CEO-to-median-worker pay ratio
- **Question:** Did the mandate change CEO pay structure, and did that change CEO behavior?
- **Identification:** DiD — **high vs. low pay-ratio firms, before vs. after 2018**
- **Finding 1:** High-ratio firms cut **pay-size** and upside **pay-performance** sensitivity
- **Finding 2:** Those firms then did **fewer-but-better** large **M&A deals**, and **more-but-worse** small ones

Title

What's working

- “Topic:Setting” format, is established and professional
- “Evidence from...” format, signals an exogenous shock and credible identification

What's not working

- Punchline, Title neither has thesis nor tension

But: Paper has two linked findings, hard to compress into one line

- Precision, “CEO Incentives” is too generic and might trigger wrong expectations

Abstract

What's working

- Results-only, direct opening is catchy
- One-sentence spelled out mechanism (S2), cause → behaviour → reason
- Symmetric contrast (S3), makes the four statements easy memorable

What's not working

- Hedging opener (S1), makes the paper look boring
- Overloading (S1), makes it impossible to remember all claims

Background

Preperiod

- 2010: Dodd-Frank
- 2013: SEC proposes
- 2015: SEC adopts
- 2017: Rule effects
- 2018: 1st Disclosure

Post-period

- 2020: COVID-19
- 2022: ESG

Major 'landmines':

- Anticipation Effect
- COVID-19

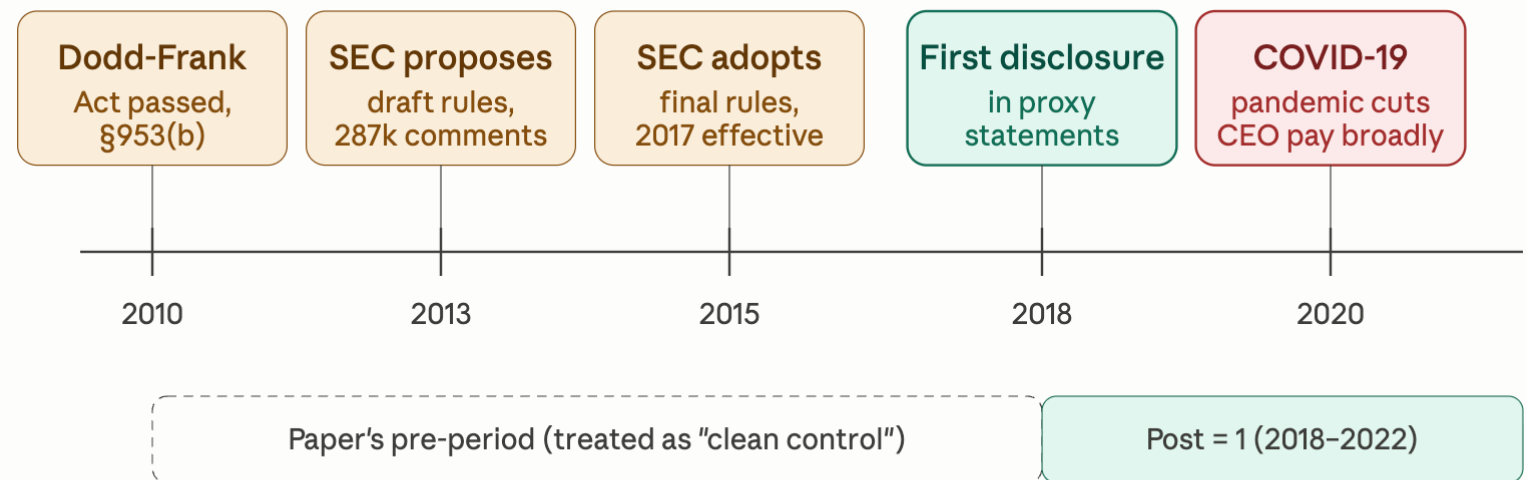


Figure 1. Timeline of Pay Ratio Disclosure Mandate.

Generated by Claude (Anthropic)

Data

Data Sample

- Data Length: 2012 - 2022
- Databases: ExecuComp, SDC

As a reader:

- Why did they stop at 2022?
- Did the results from the later years not support their story?

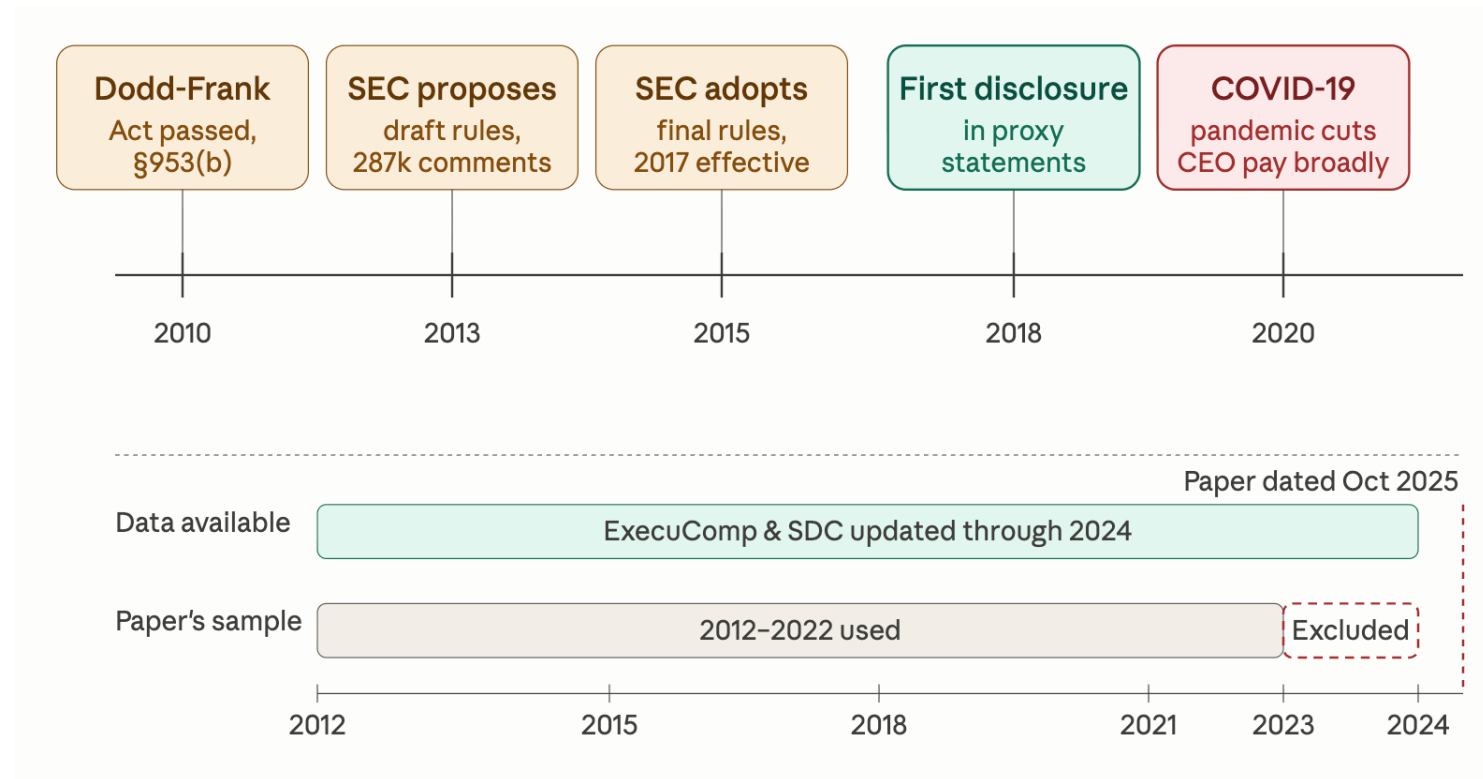


Figure 2. Timeline of Pay Ratio Disclosure Mandate and Paper's sample selection.

Generated by Claude (Anthropic)

What the paper does well

- the paper is well-referenced
- figures and tables that follow academic standards
- the explanation of data sources is very thorough

Table 4

The Effect of Pay Ratio Disclosure on CEO Pay-Performance Sensitivity

This table studies the impact of Pay Ratio Disclosure Reform on CEO pay sensitivity to firm performance. The dependent variable is change in CEO pay. *Positive (Negative)* return equals the annual stock return if it is positive (negative), and zero otherwise. T-statistics based on standard errors clustered by firm are reported in brackets. *, **, and *** denote statistical significance at 10%, 5%, and 1% level, respectively.

Dep. Var.	$\Delta \text{Ln (CEO Pay)}$					
	Full Sample	High Ratio	Low Ratio	Full Sample	High Ratio	Low Ratio
	(1)	(2)	(3)	(4)	(5)	(6)
Positive×Post	-0.116* (-1.96)	-0.220*** (-3.04)	-0.048 (-0.55)	-0.107* (-1.74)	-0.222*** (-3.08)	-0.052 (-0.55)
Positive	0.186*** (3.97)	0.241*** (3.60)	0.148** (2.28)	0.181*** (3.67)	0.236*** (3.36)	0.145** (2.12)
Negative×Post	-0.057 (-0.46)	0.040 (0.23)	-0.117 (-0.69)	-0.107 (-0.86)	0.082 (0.45)	-0.206 (-1.22)
Negative	0.375*** (3.01)	0.485*** (3.79)	0.287 (1.55)	0.425*** (3.52)	0.473*** (3.38)	0.406** (2.36)

[Controls omitted: Size, Sigma, ROA, Leverage, Tobin's Q, Duality, Age, Gender, Tenure, Ownership]

Firm FE	YES	YES	YES	YES	YES	YES
Year FE	YES	YES	YES	NO	NO	NO
Ind-Year FE	NO	NO	NO	YES	YES	YES
Observations	12,513	6,398	6,115	12,513	6,398	6,115
Adj. R-squared	0.019	0.037	0.014	0.024	0.046	0.023

On AI use

- We used Claude (Anthropic) to generate the timeline figures (slides 5 and 6)
- We asked Gemini (Google) whether the absence of a Discussion section is unusual in empirical finance — Gemini said no. We are unsure whether to trust this, and welcome the class's view.
- All judgments and writing choices on these slides are our own

Thank you!